CAPITAL IMPROVEMENT PLAN

Pelican Crestline Medical Plaza | Philadelphia, PA

Property	Pelican Crestline Medical Plaza
Plan Date	January 6, 2021
Prepared For	Cascadia Rock Capital
Total Plan Budget	$457,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Lobby renovation	Interior	11/24/24	Q1 2027	$247,000	$172,433	In progress
Sewer line repair	Energy	02/15/25	Q4 2027	$266,000	$78,908	Approved
HVAC replacement	Life Safety	04/29/26	Q1 2027	$567,000	$112,458	Approved
Landscape / irrigation	Building	04/06/25	Q3 2025	$801,000	$250,557	Approved
Storefront glazing	Site	06/23/26	Q1 2027	$793,000	$372,260	Bidding
Sewer line repair	Energy	09/27/26	Q1 2025	$755,000	$661,390	Deferred
Unit interior upgrades	Energy	11/29/25	Q4 2027	$634,000	$577,301	Deferred
Pool resurfacing	Building	03/20/25	Q2 2026	$406,000	$287,817	Complete
Lobby renovation	Building	07/07/26	Q3 2025	$645,000	$156,239	Bidding
Fire alarm panel upgrade	Site	03/17/25	Q4 2025	$640,000	$360,022	Deferred
Fire alarm panel upgrade	Interior	05/05/26	Q1 2027	$827,000	$444,960	Approved
Security camera upgrade	Energy	02/08/24	Q3 2025	$779,000	$493,325	In progress
Fence replacement	Life Safety	03/25/23	Q3 2026	$319,000	$268,222	Complete
Door hardware	Site	01/22/24	Q3 2025	$163,000	$10,968	Bidding
Storefront glazing	Life Safety	01/16/24	Q1 2025	$305,000	$69,319	Approved
Lobby renovation	Life Safety	07/02/26	Q1 2027	$344,000	$222,121	Bidding
Parking lot resurfacing	Energy	01/29/26	Q1 2025	$233,000	$170,235	Complete
LED lighting retrofit	Interior	04/25/25	Q4 2025	$322,000	$299,063	Deferred
Security camera upgrade	Energy	05/21/24	Q3 2025	$66,000	$49,207	Deferred
Pool resurfacing	Building	12/10/23	Q4 2026	$516,000	$34,878	In progress
Sewer line repair	Interior	01/30/24	Q1 2026	$16,000	$7,761	Approved
Exterior paint	Site	10/11/23	Q1 2025	$434,000	$28,034	Complete
Fire alarm panel upgrade	Life Safety	12/07/26	Q4 2025	$850,000	$307,786	Bidding

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Signage / monument	Building	04/12/24	Q1 2027	$456,000	$239,856	Deferred
Lobby renovation	Interior	02/12/25	Q4 2025	$42,000	$34,598	Complete
HVAC replacement	Interior	04/13/25	Q1 2026	$675,000	$246,588	Complete
Parking lot resurfacing	Life Safety	01/22/23	Q2 2027	$152,000	$136,085	Complete
LED lighting retrofit	Energy	11/17/24	Q1 2026	$28,000	$17,214	Deferred
Roof replacement - Bldg B	Site	09/30/24	Q2 2026	$748,000	$594,802	In progress
Roof replacement - Bldg B	Interior	08/15/26	Q3 2025	$49,000	$348	Deferred
Roof replacement - Bldg D	Life Safety	03/04/25	Q4 2025	$565,000	$443,150	In progress
Sewer line repair	Energy	08/03/26	Q1 2026	$191,000	$28,174	In progress
LED lighting retrofit	Building	10/12/25	Q4 2025	$669,000	$139,946	Deferred
Roof replacement - Bldg C	Site	11/06/24	Q4 2025	$156,000	$145,746	Deferred
Water heater replacement	Building	03/20/25	Q3 2026	$203,000	$76,183	Complete
Unit interior upgrades	Life Safety	02/21/23	Q3 2027	$607,000	$522,760	In progress
Elevator modernization	Site	08/03/25	Q3 2026	$132,000	$32,498	In progress
Amenity renovation	Interior	04/10/25	Q3 2026	$810,000	$784,130	Approved
Lobby renovation	Building	07/28/26	Q2 2026	$390,000	$300,919	In progress
Landscape / irrigation	Life Safety	08/18/23	Q1 2027	$658,000	$40,630	Complete
Landscape / irrigation	Energy	03/18/25	Q1 2025	$875,000	$636,790	In progress
Water heater replacement	Site	02/26/23	Q4 2026	$253,000	$9,926	Complete
Elevator modernization	Energy	05/03/24	Q2 2025	$674,000	$220,659	Complete
Security camera upgrade	Life Safety	09/16/25	Q4 2027	$827,000	$445,851	In progress
Unit interior upgrades	Building	03/27/24	Q2 2026	$613,000	$535,567	In progress
Elevator modernization	Life Safety	03/11/23	Q1 2026	$765,000	$67,438	Bidding
Water heater replacement	Site	08/04/26	Q4 2026	$525,000	$487,892	Deferred
Signage / monument	Building	11/09/25	Q4 2027	$408,000	$193,538	Approved
LED lighting retrofit	Site	12/11/24	Q1 2025	$582,000	$106,925	Complete
Amenity renovation	Energy	12/12/24	Q4 2025	$45,000	$22,433	Bidding
Water heater replacement	Site	04/13/25	Q1 2027	$355,000	$304,285	Complete
Storefront glazing	Energy	11/19/24	Q4 2027	$444,000	$367,998	Complete
Elevator modernization	Site	01/01/25	Q1 2027	$595,000	$332,461	In progress
Door hardware	Life Safety	11/07/25	Q4 2025	$882,000	$25,361	Approved
ADA compliance	Site	11/11/24	Q2 2027	$747,000	$50,905	Deferred
Unit interior upgrades	Interior	01/11/26	Q3 2026	$728,000	$21,438	Approved
Elevator modernization	Life Safety	11/22/25	Q3 2026	$157,000	$22,975	Bidding
Signage / monument	Life Safety	05/24/25	Q2 2027	$91,000	$53,637	Bidding
Security camera upgrade	Interior	12/04/24	Q4 2025	$402,000	$327,518	Deferred
Amenity renovation	Interior	04/06/24	Q3 2026	$415,000	$43,885	Complete
Fence replacement	Life Safety	01/26/26	Q3 2027	$617,000	$485,505	Deferred
Amenity renovation	Interior	11/01/25	Q3 2025	$504,000	$181,961	Bidding
Landscape / irrigation	Site	12/01/25	Q2 2027	$266,000	$178,504	Complete
Amenity renovation	Life Safety	01/02/26	Q2 2027	$831,000	$692,336	Bidding
ADA compliance	Life Safety	04/03/26	Q4 2027	$603,000	$499,213	Bidding

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Deferred Maintenance

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 29 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $379,000. Elevators were last modernized 12 years ago and are operating without deficiency.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 18 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 7 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $449,000.

Investment Overview

Projected levered IRR is 8.4% with an equity multiple of 1.46x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 3.5% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 13.2% with an equity multiple of 1.30x over the hold period. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns.

Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $281,000. Elevators were last modernized 6 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 7 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $259,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Business Plan Progress

Projected levered IRR is 12.5% with an equity multiple of 1.7x over the hold period. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Patient parking and ADA-compliant access are provided at a ratio of 18 spaces per 1,000 square feet.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 3.3% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Deferred Maintenance

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 47 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $165,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 10 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 37 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $441,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 8 years ago and are operating without deficiency.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Roof replacement - Bldg C	Life Safety	03/11/26	Q1 2027	$261,000	$76,945	Approved
Fence replacement	Life Safety	05/04/23	Q4 2025	$99,000	$52,862	Approved
HVAC replacement	Site	03/28/24	Q4 2027	$883,000	$106,917	Bidding
Exterior paint	Building	11/08/26	Q2 2027	$690,000	$255,662	Deferred
Security camera upgrade	Energy	03/25/24	Q4 2025	$777,000	$729,812	Complete
Fire alarm panel upgrade	Site	12/26/23	Q1 2025	$678,000	$70,753	In progress
Unit interior upgrades	Interior	10/01/24	Q3 2027	$534,000	$464,844	Deferred
Signage / monument	Building	01/21/26	Q4 2026	$203,000	$4,740	Deferred
Sewer line repair	Energy	01/26/24	Q1 2025	$657,000	$216,613	Complete
HVAC replacement	Energy	02/19/23	Q1 2027	$518,000	$231,503	Deferred
Storefront glazing	Site	04/05/26	Q4 2025	$629,000	$518,183	Approved
Security camera upgrade	Interior	01/08/26	Q3 2027	$143,000	$100,962	Bidding
Signage / monument	Site	09/17/24	Q2 2026	$487,000	$144,834	Deferred
Security camera upgrade	Building	08/15/26	Q4 2027	$671,000	$16,849	In progress
Signage / monument	Life Safety	05/20/24	Q4 2027	$163,000	$18,922	Approved
ADA compliance	Interior	03/23/25	Q1 2025	$156,000	$79,772	Deferred
Landscape / irrigation	Energy	02/02/24	Q2 2027	$357,000	$110,874	In progress
ADA compliance	Energy	02/12/25	Q1 2026	$665,000	$351,955	In progress
LED lighting retrofit	Site	05/31/24	Q3 2027	$293,000	$137,933	Complete
Parking lot resurfacing	Interior	03/02/25	Q3 2026	$210,000	$78,846	Complete
Signage / monument	Interior	08/03/24	Q4 2027	$600,000	$474,830	Complete
LED lighting retrofit	Building	09/24/26	Q3 2026	$570,000	$244,781	Deferred
ADA compliance	Life Safety	08/04/25	Q2 2026	$241,000	$235,891	Approved
Security camera upgrade	Interior	10/06/24	Q2 2025	$406,000	$143,638	In progress
Sewer line repair	Interior	08/09/25	Q2 2026	$22,000	$18,534	Approved
Water heater replacement	Building	11/25/23	Q2 2027	$459,000	$161,895	In progress
Roof replacement - Bldg C	Interior	04/07/23	Q3 2027	$270,000	$144,705	In progress
Water heater replacement	Building	10/01/23	Q2 2027	$874,000	$638,972	Deferred
Security camera upgrade	Energy	02/08/26	Q2 2027	$329,000	$114,609	Deferred
ADA compliance	Energy	07/26/26	Q4 2027	$154,000	$139,391	Deferred
Pool resurfacing	Interior	12/06/24	Q1 2026	$323,000	$40,813	Approved
Pool resurfacing	Life Safety	12/31/25	Q2 2026	$829,000	$859,919	Bidding
Fire alarm panel upgrade	Life Safety	08/07/24	Q3 2027	$547,000	$454,069	Approved
Water heater replacement	Building	07/27/24	Q2 2025	$887,000	$367,109	Complete
Pool resurfacing	Energy	12/20/26	Q4 2027	$15,000	$11,202	Complete
Roof replacement - Bldg D	Site	10/27/25	Q1 2025	$451,000	$65,825	Complete
Amenity renovation	Energy	10/14/26	Q2 2025	$259,000	$234,649	Deferred
Exterior paint	Life Safety	10/13/24	Q3 2025	$735,000	$741,596	Complete
Fire alarm panel upgrade	Life Safety	03/04/26	Q2 2027	$838,000	$864,885	Deferred
Unit interior upgrades	Building	04/08/23	Q2 2025	$810,000	$251,290	In progress
Door hardware	Life Safety	04/16/25	Q4 2027	$31,000	$20,476	Complete

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Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $137,000. Elevators were last modernized 12 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 26 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 11 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Business Plan Progress

Projected levered IRR is 7.2% with an equity multiple of 1.6x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.4% on contributed capital. Patient parking and ADA-compliant access are provided at a ratio of 34 spaces per 1,000 square feet.

Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Patient parking and ADA-compliant access are provided at a ratio of 30 spaces per 1,000 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $118,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 6 years ago and are operating without deficiency.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 48 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $320,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 7 years ago and are operating without deficiency.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 10.8% with an equity multiple of 1.9x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 4.8% on contributed capital. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 5.0% on contributed capital. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 2 spaces per 1,000 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $124,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 16 months. Elevators were last modernized 3 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $80,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 45 months.

Investor Distributions

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
HVAC replacement	Site	10/01/26	Q4 2025	$243,000	$94,916	Deferred
Fence replacement	Site	09/28/23	Q1 2027	$171,000	$10,704	Bidding
Pool resurfacing	Interior	04/05/24	Q1 2026	$617,000	$302,841	Deferred
Door hardware	Life Safety	07/31/23	Q4 2027	$533,000	$69,320	Approved
HVAC replacement	Energy	01/25/25	Q4 2025	$122,000	$101,808	Deferred
Storefront glazing	Energy	04/30/26	Q3 2026	$441,000	$85,252	In progress
ADA compliance	Site	12/09/26	Q3 2027	$148,000	$12,508	Complete
Exterior paint	Interior	12/18/23	Q3 2025	$481,000	$309,597	In progress
Pool resurfacing	Interior	06/22/24	Q4 2026	$116,000	$100,881	Complete
Elevator modernization	Interior	11/05/26	Q3 2027	$370,000	$28,158	Approved
Fence replacement	Building	08/05/25	Q1 2025	$412,000	$129,319	In progress
Amenity renovation	Life Safety	02/19/23	Q1 2026	$67,000	$69,038	Bidding
Amenity renovation	Energy	07/06/26	Q2 2027	$10,000	$2,661	Complete
Landscape / irrigation	Building	03/06/24	Q4 2027	$10,000	$977	Deferred
Security camera upgrade	Life Safety	12/03/25	Q1 2025	$342,000	$77,010	Complete
Exterior paint	Interior	11/18/23	Q3 2027	$467,000	$325,621	Approved
Lobby renovation	Energy	12/15/26	Q2 2026	$527,000	$84,293	Complete
HVAC replacement	Interior	04/22/23	Q1 2027	$410,000	$316,518	Bidding
Amenity renovation	Building	11/11/26	Q3 2025	$846,000	$603,028	Approved
Landscape / irrigation	Interior	07/30/26	Q1 2025	$744,000	$8,618	Approved
Pool resurfacing	Interior	09/24/24	Q2 2026	$417,000	$43,808	Deferred
Unit interior upgrades	Building	03/14/24	Q3 2025	$116,000	$23,087	Bidding
Water heater replacement	Energy	01/09/23	Q3 2026	$477,000	$41,586	Approved
Roof replacement - Bldg A	Interior	11/30/23	Q1 2026	$94,000	$76,188	Approved
Water heater replacement	Energy	03/16/25	Q2 2026	$99,000	$2,117	Complete
Landscape / irrigation	Site	02/27/26	Q3 2026	$467,000	$60,299	Complete
Signage / monument	Building	08/19/26	Q3 2025	$184,000	$190,531	Approved
Fire alarm panel upgrade	Building	02/19/24	Q1 2025	$124,000	$85,172	Approved
Exterior paint	Life Safety	08/10/25	Q4 2027	$700,000	$178,781	Deferred
Signage / monument	Site	03/15/24	Q1 2026	$454,000	$296,351	In progress
Exterior paint	Energy	10/08/23	Q3 2025	$892,000	$239,297	Approved
ADA compliance	Interior	12/21/25	Q4 2025	$878,000	$25,852	Approved
Security camera upgrade	Interior	04/04/25	Q1 2026	$170,000	$169,929	In progress
Storefront glazing	Energy	05/11/25	Q1 2026	$404,000	$145,408	In progress
Lobby renovation	Life Safety	02/15/24	Q1 2026	$371,000	$364,551	Bidding
Sewer line repair	Energy	01/23/26	Q2 2025	$318,000	$158,785	Complete
Sewer line repair	Life Safety	02/02/24	Q2 2026	$211,000	$170,937	Bidding
Fence replacement	Life Safety	02/05/25	Q1 2025	$338,000	$95,722	Deferred
Parking lot resurfacing	Energy	02/06/23	Q4 2025	$498,000	$14,741	Bidding
LED lighting retrofit	Energy	03/05/25	Q1 2025	$741,000	$613,623	Deferred

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Deferred Maintenance

Elevators were last modernized 5 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 33 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 6 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Projected levered IRR is 9.1% with an equity multiple of 1.19x over the hold period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Projected levered IRR is 5.3% with an equity multiple of 1.13x over the hold period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 26 months.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 28 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 3 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $225,000.

Business Plan Progress

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns.

Distributions to investors for the quarter were paid at an annualized rate of 6.7% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $249,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 11 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 37 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Business Plan Progress

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Storefront glazing	Life Safety	07/01/25	Q1 2026	$187,000	$150,369	In progress
Unit interior upgrades	Site	01/20/24	Q2 2026	$228,000	$11,754	Deferred
Lobby renovation	Interior	09/18/23	Q1 2026	$174,000	$122,136	Deferred
Storefront glazing	Energy	04/23/24	Q2 2025	$689,000	$145,360	In progress
Landscape / irrigation	Building	11/21/24	Q3 2026	$15,000	$5,273	Approved
Landscape / irrigation	Interior	05/02/23	Q1 2026	$682,000	$696,511	Complete
HVAC replacement	Interior	09/03/24	Q4 2027	$811,000	$473,365	Deferred
Parking lot resurfacing	Site	02/01/24	Q2 2025	$633,000	$405,775	Complete
Fire alarm panel upgrade	Interior	03/31/25	Q4 2025	$467,000	$296,793	Deferred
LED lighting retrofit	Interior	08/16/25	Q3 2027	$193,000	$183,532	Complete
Storefront glazing	Energy	12/07/26	Q1 2026	$673,000	$472,505	Complete
Lobby renovation	Life Safety	09/15/23	Q4 2027	$853,000	$444,003	Deferred
Pool resurfacing	Life Safety	01/23/25	Q4 2025	$12,000	$45	In progress
LED lighting retrofit	Life Safety	10/27/24	Q2 2025	$77,000	$65,761	Approved
Water heater replacement	Energy	06/06/26	Q3 2026	$638,000	$347,342	Deferred
Storefront glazing	Life Safety	08/22/24	Q4 2025	$129,000	$134,618	Bidding
Fence replacement	Site	04/11/24	Q3 2027	$54,000	$47,029	Approved
Unit interior upgrades	Life Safety	02/14/26	Q3 2026	$282,000	$161,545	Bidding
Door hardware	Site	05/16/25	Q1 2026	$99,000	$65,745	Bidding
Signage / monument	Interior	01/01/25	Q1 2027	$690,000	$680,655	Deferred
HVAC replacement	Interior	04/04/24	Q1 2026	$415,000	$255,641	Deferred
Elevator modernization	Interior	10/13/23	Q2 2026	$531,000	$79,261	Approved
Parking lot resurfacing	Energy	11/28/23	Q2 2025	$693,000	$602,173	Complete
Roof replacement - Bldg B	Site	04/08/23	Q3 2027	$219,000	$223,611	Approved
Fire alarm panel upgrade	Building	04/05/26	Q2 2025	$742,000	$545,837	Approved
HVAC replacement	Site	04/12/25	Q1 2027	$821,000	$479,475	Approved
Exterior paint	Building	10/09/23	Q3 2025	$882,000	$747,744	Deferred
Exterior paint	Energy	12/30/24	Q4 2026	$546,000	$21,093	Deferred
Pool resurfacing	Site	01/12/23	Q1 2025	$98,000	$38,719	In progress
Fence replacement	Interior	09/21/26	Q2 2026	$857,000	$238,350	Deferred
Elevator modernization	Building	11/09/25	Q2 2025	$352,000	$316,558	Approved
Storefront glazing	Building	09/27/24	Q4 2025	$696,000	$391,793	Approved
Fence replacement	Interior	04/08/24	Q1 2027	$266,000	$111,654	Bidding
Unit interior upgrades	Interior	01/24/25	Q4 2025	$210,000	$44,363	Complete
Parking lot resurfacing	Interior	03/06/25	Q4 2026	$573,000	$345,329	In progress
Security camera upgrade	Interior	09/01/26	Q1 2026	$247,000	$74,696	Complete
Landscape / irrigation	Energy	09/07/23	Q4 2026	$884,000	$206,754	In progress
HVAC replacement	Life Safety	07/05/24	Q3 2027	$718,000	$32,147	Bidding
Parking lot resurfacing	Site	10/09/26	Q2 2026	$609,000	$26,720	Approved
Roof replacement - Bldg D	Interior	02/10/24	Q3 2027	$715,000	$649,876	In progress
Water heater replacement	Interior	09/12/26	Q1 2027	$564,000	$119,248	Approved
ADA compliance	Site	10/15/24	Q1 2026	$195,000	$200,531	Bidding
Roof replacement - Bldg A	Site	12/24/26	Q4 2025	$65,000	$39,879	Approved

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Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $55,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 9 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 34 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 6 years ago and are operating without deficiency.

Risk Considerations

Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $124,000. Elevators were last modernized 9 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 28 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 11 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $331,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 18 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Investment Overview

Patient parking and ADA-compliant access are provided at a ratio of 33 spaces per 1,000 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Projected levered IRR is 2.2% with an equity multiple of 1.25x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 4.6% with an equity multiple of 1.42x over the hold period. Patient parking and ADA-compliant access are provided at a ratio of 22 spaces per 1,000 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Deferred Maintenance

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 4 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $89,000. Elevators were last modernized 10 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Elevators were last modernized 11 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investment Overview

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